From Iran to Uber CEO | Nikhil Kamath x Dara Khosrowshahi | People by WTF | Ep. 14

(0:24 - 0:52)

Wow, that looks very dead. It's hot though, right? Ah. You live here? Wow.

(0:56 - 1:05)

Really? New York seems like a lot more fun. Yeah. But SF is beautiful.

(1:22 - 1:29)

Where are you based? Based out of India. Okay, where? So I live between Bangalore, Mumbai and Goa in India. Okay.

(1:29 - 1:35)

Have you been recently? I go once a year. I don't remember. I was there earlier this year, yeah.

(1:36 - 1:58)

Like it? At least, yeah, it's so like, it's just the energy is incredible and the teams, you know, we got and I think it's Hyderabad and Bangalore, we got teams there and it's just like a group who is super excited. The energy you get out of the teams when you go visit them is, it's pretty awesome. I like it a lot.

(1:58 - 2:06)

What's happening in India, Dara? I know your main competition is Ola, who is also a really good friend of mine. Yes. You live in the same city.

(2:06 - 2:11)

Yes. Well, have we officially started? Yeah. All right, good.

(2:14 - 2:28)

Ola used to be our main competition. And, you know, we were always going head to head with Ola in terms of the category position in the marketplace. They were the local competitor.

(2:28 - 2:47)

I think we had the better global tech, et cetera, but they were always scrappy. I think he got somewhat distracted by other interesting areas for him. So I'd say now the tougher competition in India is Rapido.

(2:48 - 2:59)

You know, they're the upstart. They got into two wheelers and three wheelers really aggressively. Super simple model, just kind of the subscriptions Euro Commission model.

(3:00 - 3:10)

Very scrappy as well. And they have gained a good amount of category position. I think Ola is now kind of a distant third.

(3:11 - 3:30)

They're trying to get into four wheelers now. So when we talk about India, other than the talent that we have there and building there and really building on our talent base, but when we talk about the business in India, and it's the third largest country in terms of mobility trips, so India is really important to us. The competition that we talk about is really Rapido.

(3:31 - 4:07)

What do you think Rapido is getting right that the others are not? I'm not on the ground, but I think Rapido built a really simple model, which is basically the subscription model. You pay a certain amount, and for the rest of the day, you operate on what's essentially Euro Commission. And once you pay the subscription, then because Rapido is essentially taking a zero commission, then the driver pay is higher than a player who, like us, is taking a commission on every trip.

(4:08 - 4:26)

So I think that was a smart way for them to break into the marketplace. Rapido is not making money, so the real test of the business isn't how fast you can grow if you're spending, it's actually how fast you can grow while you're profitable. And I think Rapido is a long way away from that.

(4:27 - 4:41)

But they've been innovative, they've been scrappy, they move fast. They're building their brand there in the local market, so we've got a lot of respect for them. And we intend to compete really hard with them.

(4:42 - 5:22)

So Dara, this podcast that we do is largely focused around young wannabe entrepreneurs in India. And the spaces that you operate in, be it mobility, delivery, may I also say autonomous vehicles, electric vehicles, these are taking up significant mindshare in the dialogue that's happening back home. So at the end of today, if I can arrive at some takeaways that one could use in India to build around any of these sectors, it would be incredible.

(5:23 - 5:34)

But maybe we start with you, the individual, and you give us a few minutes on where you began and how you arrived to where you are today. Yeah, absolutely. So I was born in Iran.

(5:36 - 6:01)

And when I was born in Iran, the Shah of Iran was really trying to modernize Iran very quickly. And I was very lucky to be a part of a family that was part of the industrialization of Iran. Our family ran a group, Alborz Group, and then within it, manufacturing companies like Toli Daru, which were manufacturing.

(6:01 - 6:12)

We licensed pharmaceuticals from the West and then manufactured them in Iran and then distributed them in Iran and the Middle East. It was a big business. We were a very well-known family.

(6:13 - 6:24)

My father was in charge of building out all the factories. And our family was raised with the assumption that we would then step into the family business and keep growing. And it was a really exciting time.

(6:24 - 6:59)

Can I digress and ask a question? Whenever I read about Iran's history, when I talk to the young folk, the Shah's time seems to have been this great time. What happened? Why did it change? Why did the regime change? Well, I think it was a great time for people who were lucky enough to participate in the modernization of Iran. Was it like crony capitalism? I don't know enough, but I think that to some extent, in hindsight, and hindsight is 2020, I think the Shah tried to modernize too quickly.

(7:00 - 7:28)

I think that he was too focused on building up military power. So in terms of the growth of GDP in Iran, a significant amount went to establishing Iran as the power center of the Middle East or the military power center of the Middle East versus the industrial power center of the Middle East. And I think he didn't bring along the outskirts, the people who lived in smaller cities, etc.

(7:29 - 8:06)

And part of his modernization left Islam behind. And Iran as a culture is much more ancient than Islam, but Islam is part of the society as well. And so his moving too fast, his focusing on military power versus his people, his focus on kind of the big cities versus everybody, you know, rhymes

with maybe things that have happened here, created a movement and an opportunity for the Islamic regime to come in.

(8:06 - 8:30)

So people tend to romanticize the past. Now, do I think that the time under the Shah was a better time? Absolutely. I think what's happened with the Islamic regime, you know, there's a regime that isn't, I think, doing the Iranian people right and cares about things other than the benefit of the people there.

(8:30 - 8:49)

And I think that's disappointing, and it's been there for too long, in my opinion. But, you know, every time has its good and its bad. And, unfortunately, the Shah wasn't able to follow through on a movement that had a lot of promise.

(8:49 - 9:04)

And I think that the biggest promise, in my estimation, was the value of education. And women went to college, etc. The number of women graduates in Iran actually is higher than the number of men graduates.

(9:04 - 9:36)

So there were a lot of seeds planted there that had a lot of promise. And hopefully, Iran can get out of, I think, now its obsession with Islam and think more about its people and building out for the good of the people in concert with Islam, but not subjugated to Islam. Does it get in the way in any way today, the fact that your origins are there, while the countries where you live today in that might be in conflict? Not a conflict in my life.

(9:38 - 9:51)

You know, there's a sadness in leaving your home country. I mean, my country is now the United States, and we got to rebuild in the U.S., and I'm so thankful for it. But would I love to go back? I would.

(9:52 - 10:03)

But to some extent, the culture of Iran matches the Western culture. It's a group of people who want to build. It's a group of people who value education, who are ambitious.

(10:04 - 10:18)

So I don't find it a conflict with who I am now. But there's a part of me that I feel is incomplete and will be incomplete if I never am able to go back to Iran. I have Iranian friends who live in India

now.

(10:18 - 10:27)

Yes. And most of them mimic your emotion in thinking that here's a land that had so much opportunity. Incredible.

(10:27 - 10:40)

But just religion seems to have caused so much harm than good in that particular geography. And it doesn't have to. There are many things about religion that are beautiful.

(10:41 - 10:51)

But again, I think what's happened in Iran is it's really unfair to the people there. Are you religious, Dara? I'm not religious. I'd say I'm spiritual.

(10:51 - 10:57)

Right. But I'm not religious. I believe in the power of humanity.

(10:58 - 11:19)

And I think religion plays to what makes us human and the relationships between us and the deep, deep good in all of us. And I think it's beautiful. Religions, the stories, the beliefs are beautiful.

(11:19 - 11:33)

And so I describe myself more as spiritual. But for me, my belief is in the good of humanity. At the very core, do you think that is what religion is? Stories? Great stories? I think, yeah.

(11:34 - 11:55)

You know, if you kind of go through the – there's an intellectual exercise I heard, which is if all of our memory was wiped out. Yeah. And you rebuilt religions on Earth, there's a high probability that the nature of those religions and the stories would be different.

(11:55 - 12:06)

If you rebuilt science, the science would come out the same. And so I do think that there are deep truths. There are deep human truths to religion.

(12:07 - 12:20)

And those deep truths are unchanging. But each religion are definitely different ways of getting to

those similar deep truths. What is spirituality to you? A lot of people ask me if I'm spiritual.

(12:21 - 12:50)

I'm like, what is it? I'm trying to figure out what the word even means to begin with. I think it's a great question. For me, what spirituality means to me is a belief in the goodness of humanity, a belief in, you know, you and I have so little in common in terms of where we came from and maybe our stories, but so much in common we've sat together in five minutes and there's a connection there.

(12:52 - 13:06)

And I don't think that connection is because of a logical construct that I'm here to speak to you on a podcast that are, you know, like I'm not faking it. Right. There's a connection that we're establishing now having this discussion.

(13:07 - 13:15)

That to me is a spiritual connection. It's not a logical construct. You know, you're not being nice to me because you think you have to be and vice versa.

(13:17 - 13:23)

Instantly, you have that rapport. And sometimes, by the way, you don't with certain people. That comes from a spiritual side.

(13:23 - 13:38)

And that spirit can be captured for good and it can be captured for evil as well. So in a way, we're all connected somehow like trees and roots. You know, literally, I don't know.

(13:38 - 13:55)

But yes, I do think there's a deeper connection within humanity. And listen, there are some people who attribute that to perfectly logical causes, right? The love that you have. Do you have family? Do you have brothers and sisters? You know, there are some people who would say that your... What do you have? Brother.

(13:55 - 14:13)

Yeah. Your love for your brother is based on the genetic similarity of you two. So it's actually while you may ascertain that to a deep love that you have for family, it's actually purely logically based on your existence as a bunch of genes who wants to continue those genes.

(14:13 - 14:26)

And your brother has a genetic makeup that's quite similar to you. So what you view as familial love is actually adaptation that is feeding you that familial love. There is a logical explanation to all of this.

(14:27 - 14:59)

I kind of choose to acknowledge that, but I view that the outcome of that is spirituality. Now, it may be based on genetic logic between all of us, but I think that outcome is beautiful, and I'd rather keep it at the spiritual level versus say, oh, it's just us being gene machines that are trying to continue our genes indefinitely. Would make a case for liking people who are genetically similar to us as well? Absolutely.

(14:59 - 15:09)

Because we have similar genes to create? Yeah, absolutely. I feel a connection to Iran, a deep connection to Iran. Why? I came here when I was nine years old.

(15:09 - 15:15)

We're now back in history, right? I have to say one thing. I was in your old office yesterday. Yes.

(15:15 - 15:23)

And Alan and co. I was meeting somebody for something. And you know Bob Carey? Yes, I've met him.

(15:23 - 15:29)

I don't know Bob very well, but I've met him. Yeah, so they were telling me you should ask Dara. And I said, I'm meeting you the next day.

(15:30 - 15:48)

And they were telling me you should ask Dara. When he used to be here, he used to say he doesn't believe in globalization. Is that because genes away from one geography become too far? Boy, that was Bob's takeaway from... I don't even remember that.

(15:48 - 15:58)

I don't know if I was trying to upset him or something like that. I don't believe in globalization. I don't know what that means, or I don't know what I meant at the time.

(15:58 - 16:18)

But I do think that, again, that connection I have with Iran, I believe is a spiritual connection. I

don't know where it comes from. Because I'm so American, right? I've lived the vast majority of my life as an American.

(16:18 - 16:30)

I've been incredibly lucky to be here. But there's a part of me that feels empty if I don't go back. And, you know, that's probably a spiritual connection.

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Again, you could put a genetic underlying cause to it, but I like the story of that being spirituality more. I get that. I think I feel that in India, strongly.

(16:41 - 16:59)

So year nine, you move here. Yeah, so we had the Iranian revolution happen, the Islamic revolution happen. Little story, which is we were intending to stay at one point, but then I think the house across the street from us was related to the Shasom house.

(16:59 - 17:15)

So some revolutionary guards jumped, wanted to go attack that house, and they jumped over, went through our garden. I think their guns went off, so shots went off, so bullets came through our house. And at that point, my mom said, we're getting out of here.

(17:16 - 17:20)

So we went to the south of France. We were a wealthy family. We had a place there.

(17:21 - 17:30)

And really the intent was to go to the south of France until things calmed down. Well, things never calmed down. We happened to have an uncle who's still alive now.

(17:30 - 17:49)

He's 101 years old, Uncle Nasrallah, who lived in the U.S. He'd married Faith, an American woman, wonderful, wonderful auntie. And so we came to the U.S. to stay with them. And then we knew we could never go back.

(17:50 - 17:58)

And we started a life here. So I've been in the U.S. ever since I was nine years old. Iranians are quite wealthy.

(17:58 - 18:19)

Whenever I go to, I realize this when I go to Beverly Hills, and everybody's Iranian. Why is that? Well, I think the Iranians who were wealthy got to go, got to leave. And Iranians there were pretty entrepreneurial culture, and a lot of Iranians invested in real estate.

(18:19 - 18:34)

We came here in the late 1970s, 80s, and it was a good time to come to America and establish yourself and get into business in the U.S. And my family did the same. My family did the same. But it was really for the kids.

(18:35 - 18:48)

I was only nine years old. I think children are able to adjust to change much more readily. For us, America was this magic country where I went from three channels in Iran to 35 channels, cable.

(18:48 - 18:57)

I couldn't understand the language very well. But we adjusted really well, and we always had our family around us. But it was much harder for my parents.

(18:57 - 19:07)

My father, his whole life was business. And he took a shot at some entrepreneurial businesses. They didn't work out very well.

(19:07 - 19:24)

And without work, he kind of didn't have a cause in his life. He went back to Iran because his father was dying. So I didn't see him, I think, between the ages of 13 and 19 because they wouldn't let him out of the country for those six years.

(19:25 - 19:41)

And my mom, who lived a life of absolute luxury, had to go back to work. She worked as a salesperson at Nordstrom, Celine. And it was a very, very difficult adjustment for them.

(19:41 - 20:18)

But for the kids, we always had family. We got to go to private school, and we got to have the kind of education that then afforded us the opportunities that we've taken advantage of since. So you started school here.

Where in America? In Westchester County, New York, about an hour of New York at a wonderful school called Hapley School. And then I went to Brown University and studied engineering at Brown University. And then I was going to an engineering management program, and I met a

commodity trader, a woman in New York City, who I completely fell in love with.

(20:19 - 20:27)

And I had to find a job in New York City. And the only jobs available in New York City were investment banking jobs. And so that's how I got to Allen & Company that you just talked about.

(20:27 - 20:52)

And I worked at Allen & Company for, I think it was like eight years or so. And one of my clients there was a gentleman named Barry Diller, who's this legendary figure in media and then very much within the internet. And he was a client of mine.

(20:52 - 21:01)

And I remember, my intention was to stay at Allen & Company forever. It is a great family-run business. Really look out for your clients.

(21:01 - 21:08)

It's not the kind of investment bank that's looking for fees. They want to help you build a business. So I thought I was going to be there forever.

(21:08 - 21:23)

But then I saw Barry and I said, if I ever get a chance to work for that guy, I'll take it in a second. Why was that? Why was Barry? Was Barry interesting or Expedia interesting? This was before Expedia. It was all Barry.

(21:23 - 21:36)

He was. Every time he came into a room, the whole room would light up. The energy that he carried with him was extraordinary.

(21:37 - 21:58)

And I'll tell you a little story of when we met. And it's a lesson that I learned in business, was that he was running a company called QVC, which was home shopping, bidding for Paramount, which was the company that he used to run. So it was like his coming home.

(22:00 - 22:12)

And I was the little crappy analyst who was running his deal model. And at one point, the numbers started getting really high. He's like, I want to meet the person who built this deal model.

(22:13 - 22:22)

And usually with these investment banks, you have a managing director and a vice president and an associate. And he's like, no, I want to meet the person. I want this person to take me through the model.

(22:23 - 22:33)

And so he comes in, and I'm so nervous. I'm about to die. And he forced me to take him through every single line of this model so he could understand what he was doing.

(22:34 - 23:01)

And the lesson that I learned from him was that every time, the higher up you get in an organization, and it's something that I really think about now, the more procured your version of what's happening in the real world becomes. You have a chief of staff who controls your schedule. And so all the information flow to you becomes controlled.

(23:02 - 23:18)

And as the information flow comes up to you, it gets edited and edited and edited. And all the edges leave. And you essentially get access to the information that the organization wants you to have.

(23:19 - 23:34)

And the biggest mistakes that I see with businesses is not usually errors of judgment, but you just didn't really know what was going on in the organization. And Barry went right to kind of the source. He didn't want the editing.

(23:34 - 23:43)

He didn't want the smooth presentation, this or that. And so he wanted to get it to the source. I did okay because then he hired me as a banker and I just fell in love with him.

(23:43 - 24:24)

Is that happening to everyone now? Like what happens to CEOs because of the management teams and so on and so forth to normal people? Is everybody, by virtue of using large language models, today getting a version that if they did it manually, they would have discovered that there are other versions possible? Definitely. Is it making us all stupider? I mean, listen, it's not making all of us stupid. But if you are lazy enough to just depend on that version of reality because it's a very easy version of reality available to you, then you could possibly be stupid.

(24:26 - 25:02)

And so that's a sometimes, as in organizations, the organization takes over the flow of

information up the organization, et cetera. And one lesson that I learned from Barry is like the way you fight that is to create these random matches, et cetera, to fight the organization's need to package everything for you because it's the things that you don't know that ultimately hit you on the side of the head that make you vulnerable. And so it's a very long-winded story.

(25:02 - 25:24)

But eventually, Barry lost that deal. He then started in partnership with John Malone, who's another kind of legend in the entertainment industry, Home Shopping Network, and started rolling up some other assets. And at that point, he did a big deal with USA Networks.

(25:24 - 25:39)

He didn't have any staff to help him out. And at that point, he hired me to be his deal person, and I followed him. So then we kind of took the, he was really, Barry was really interested in the intersection of entertainment with interactivity.

(25:40 - 25:51)

And this is like during the AOL days, et cetera. And we actually got lucky because we bought a company called Ticketmaster. I don't know if Ticketmaster operates in India.

(25:52 - 26:14)

It doesn't, but I remember it. Yeah, and in the olden days, the way that Ticketmaster would sell tickets was either you would go to like a Tower Records store and wait in line for the Madonna concert, or you would call Ticketmaster, kind of call, call, call to get these tickets. And they did a deal with America Online, and whoosh, the volumes went online.

(26:15 - 26:45)

And so at that point, Barry and I were like, okay, what else looks like tickets? It's a virtual good, advanced ticketing, reserved seats. What else looks or rhymes with transactions happening either over the phone or across a desk? And because the transactions are virtual, you don't have shipping costs, et cetera, we didn't want to compete with Jeff Bezos. Let's go after those companies that are offline because we know all this stuff is going to move online.

(26:45 - 26:55)

So that led us to, for example, travel. In the olden days, you would go to the travel agency or you would call a travel agent to book travel. Like, that's going to go online.

(26:55 - 27:13)

So we started buying businesses that were either offline, that were moving online, or some of the

early online travel companies like Expedia. We went into the personals business, Mash.com. In the olden days, you would call and be like, hi, I'm Dara and I'm 5'9". I'm 6'2", and this and that.

(27:14 - 27:28)

You leave your profile online and someone else would pick that profile. All this stuff went online. So it was a really wonderful adventure of finding businesses that we thought would take advantage of this movement of offline to online.

(27:29 - 27:46)

Travel was a huge category that we invested in. I went from being Barry's deal person to being his chief financial officer. And then at one point, the travel business, it had this incredible growth, but it hit some turbulence.

(27:47 - 27:54)

And at that point, Barry needed a CEO. And I was dumb enough to raise my hand. I said, hey, maybe I can run this thing.

(27:55 - 28:01)

And that's when I took over what became Expedia. And I ran Expedia for 13 years. Barry was always the chairman.

(28:01 - 28:05)

I was the CEO of the company. And it was a great run. We had a great run together.

(28:05 - 28:24)

How does travel change next, Dara? I think it's an industry which has stagnated a bit in terms of how one books. At least my experience online of booking a ticket, a hotel, hasn't changed that much in the last few years. Yeah, I don't think that the travel industry has innovated that much.

(28:24 - 29:00)

I think you're exactly right. And it frustrates me, which is like, the booking experience looks quite similar. I think one obvious answer is the gent experience, which is can you actually get AI agents or LLM agents to book the travel for you, to go to the various sites and compare prices, et cetera, and book for you? So I think that part of the travel booking experience can be easier, having agents work for you.

(29:00 - 29:24)

I think that the discovery part of the travel experience can get much, much better. This is, I think,

one area where LLMs today shine. Because if you thought in the, again, probably 10 years ago, I want to go someplace over the summer, how you would figure out where to go, it would be you would maybe read a magazine or go online or talk to friends or you heard about something.

(29:25 - 29:54)

The way to gather information or go to Google, which I think can be quite frustrating, luxury vacation in Europe, like the results you get are trash, in my opinion. With LLMs now, actually their ability to gather the information and bring you unexpected results, et cetera, I think travel discovery is going to get much, much better and is much better today. Travel booking, I think agents can help you as well.

(29:54 - 30:17)

And then I think one area that I think Uber is really good at, that I think the experience can improve significantly, is your in-market experience. Why is it that when you land and you take the Uber to your hotel, you even need to check in, right? We have your phone. We know where you are.

(30:17 - 30:35)

Come into the room. Why can't it be you're in room 31E and just go up there? You already checked in and go in. Why do I need to sit there and have the perfectly nice person ask me if I had a nice flight? And here's my room, et cetera.

(30:36 - 30:49)

I think the in-market experience is something that hasn't been innovated on at all and is something that could improve as well. Yeah, I'm able to today discover, say I'm coming to San Francisco. Yes.

(30:50 - 31:07)

And I want to figure out which hotel suits my needs. I can enter my taste each time, and the agent will recommend something. But is there one place where I don't have to think and the agent can do everything? I don't think there's one sole for it today.

(31:07 - 31:20)

No. And there definitely isn't one place today. I do think the cost of a bad decision and travel is very high.

(31:21 - 31:33)

Yeah. So I don't think you're going to get to a place, and I'm certainly not going to get to a place,

where I tell an agent to find me a hotel in San Francisco and just book it. And then on the day when I arrive there, I'm like, where am I going? Yeah.

(31:34 - 32:00)

But I think agents can do a great job of reducing that list that on Expedia you look at the 50 hotels and then you're filtering for maybe where you're looking or the class of hotels. It can give you the three hotels that you're most likely to like based on your historical experiences. So I think there's this in-between space, and I think agents can do a great job in that in-between space.

(32:00 - 32:34)

But I think that final decision, at least for me, is going to be up to you. But that collation, that kind of bringing everything together, that could be of very, very high utility. If you had an idea to build something around travel, sitting on the board of Expedia and running Uber at the same time, where do you build what? I think I would build, I would not go after the I, would not go after the inspiration side.

(32:34 - 32:47)

Because I think the inspiration side, thank you very much, is going to be served really, really well by an open AI or a Google. They're collecting all the information. They're going to have lots of context about who you and I are.

(32:47 - 33:29)

And the way people get inspired, it's so dispersed that it's going to be very difficult for you to build one service that, let's say, services 70% of your inspiration. And I really do think that Google, open AI, other LLMs are going to just get better and better here. But I think the agentic search, booking experience, and then in-market experience to make it a very smooth handoff from one experience to the other, I think that's something that I would focus on with my Expedia and Uber hat on at the same time.

(33:30 - 33:36)

Something interesting to build, though. I feel like a lot of opportunity here, it's not solved for at all. Someone's going to get it right.

(33:36 - 34:05)

And I do think one challenge in terms of how the industry is constructed right now is that the OTAs, the booking.coms, the Expedias of the world, they are very self-interested in making sure that you book within their supply base. And at the same time, outside of that supply base, they're organizing a ton of content, prices, et cetera, features, and information. So there's utility in that.

(34:06 - 34:35)

The ultimate solution is going to be an agent that can sit above it all and can scour the internet and scour all the booking services and then surface the results, which may be a mix and match of all of them for you based on your tastes. So I don't know, actually, and I hope it's Expedia because I'm on the board and I love the company, I hope it'll be Expedia who puts it all together. But there could be kind of an umbrella agent who is truly representing your interests versus Expedia's interests.

(34:35 - 35:11)

Now, if Expedia does a great job, they will maybe expand or they will, over a period of time, amalgamate all the content on the web, so all the travel content on the web, booking content on the web, so that super agent doesn't add much value. When you have an umbrella agent, soon you'll have another and then another. So will it come down to who is able to extrapolate your taste? And can someone's taste be deciphered from past data, you think? I think it's going to be a combination of past data.

(35:12 - 35:36)

I think that you want an agent that will do some exploration for you. So, for example, when we are showing you the restaurants that you're likely to want to pick on Uber Eats, if all we show you is the ones that you're most likely to or based on what you've done in the past, then we're missing that surprise, we're missing that explorer. So you want an agent that's a combination of explore and exploit.

(35:38 - 35:50)

I think that's going to be. So I don't think it's just going to be on your past taste, but it'll be putting your past taste with other people who look like you and then surprising you with some new choices as well. I think that's ultimately going to be the winner.

(35:52 - 36:41)

Ultimately, so much will come down to taste, right, in this world? Well, listen, taste, convenience, price, right? I mean, you and I may be lucky enough where taste is the overriding factor, but there may be context for you, right? If you're coming to San Francisco and it's midweek, you may want a cheap, decent place close to the Uber offices, right? And that's a different context than if you are going to go to Napa for the weekend where you want an experience either for yourself, for yourself and friends or loved ones. So I do think that it's not as simple in terms of taste. It's based on the context of what you're solving for, you know, your objective function.

(36:41 - 37:09)

And your objective function is going to change based on the context of what the goal of that trip is. So Dara, I was trying to define what Uber is today. You mentioned Barry and Match.com. Are you Match.com in a different way? I mean, to some extent we're bringing, obviously, riders and drivers together, and we're trying to match eaters with our restaurant partners with a courier.

(37:09 - 37:25)

So there is some of that. But listen, I think one way that I think about it from a consumer standpoint, you know, Uber is a different thing to Uber to different people. For the consumer, I really want Uber to be like that operating system for your everyday life.

(37:25 - 37:52)

You know, we make your everyday life a little bit easier. We give you a little bit of time and convenience back in terms of where you want to go, what you want to eat, more and more what you want, right? If you want that iPhone, same day, we'll do that for you. For our driver and courier partners, we are a source of work and a source of earnings based on your own needs.

(37:54 - 38:12)

And you're going to balance your needs based on the commercial objectives as well. If your need is that, I don't want to give rides at 2 a.m. in the morning, you may not make much money. So there's a combination of the marketplace combines when you want to work with the realities of the commercial objectives.

(38:12 - 38:36)

Hey, 9 p.m. Friday night, you may not want to work, but it's a great time to work in San Francisco. And then for our restaurant partners, we're a trusted partner and bringing a source of demand in terms of delivery and now retail and groceries, that's only going to grow. What we see is the convenience that we offer in terms of delivery of starting food.

(38:36 - 38:47)

Now, but everything, that convenience is absolutely dynamite. It's something that people want all over the world. And as they experience it, more and more people want it.

(38:47 - 38:55)

This is funny, but I got in last evening. Hope you took an Uber. No, I have a driver here.

(38:55 - 39:11)

But I wanted an adapter. I'm using a couple of laptops which have India plug points, and I needed a travel adapter. And at 8.30 p.m., I was trying to like ideate.

(39:11 - 39:30)

My hotel didn't have one. Sure. Target Best Buy shuts down at 8 p.m. Walgreens had one store which was open up until 10 p.m. I tried to download Instacart on my phone, which said I couldn't do it unless I have a U.S. number.

(39:30 - 39:36)

Oh, yeah, sure. Yeah. Did you try Eats? Does Uber Eats have travel adapters? Yes.

(39:36 - 39:54)

Yeah? Yes. And can I have her international number? That's one of the issues with actually the name, right? Right. When we wanted to expand from food to grocery and other items, we actually tested is Uber Eats the right name with consumers? And we found that consumers thought that it would carry.

(39:55 - 40:05)

And you've seen a lot of our branding. Well, you may not have seen it because in India, we don't have Uber Eats, unfortunately. You sold it in 2020, right? Yes, yes.

(40:06 - 40:18)

We partnered there. We didn't think we could win in India, and we wanted to really focus on mobility. But Eats now has grocery, it's got retail, and I'll bet you you could have found that travel adapter.

(40:19 - 40:25)

So lesson learned for you next time. And by the way, Eats is now available on the Rides app, too. Nice.

(40:25 - 40:34)

You sold Uber Eats to Zomato for 400, 500 million. I think you had a 10% equity in Zomato in turn. They got a great deal.

(40:35 - 40:38)

Yeah. And then you got out of Zomato altogether as well. Yes.

(40:39 - 40:42)

Which is called Eternal now. I didn't know that. They changed the name of the company.

(40:44 - 41:27)

Why is that? Why did you get out? What did you understand or learn about the Indian market? We got out not because of some deep thought as it relates to the Indian market, but my belief that we're not a holding company, we're not an investment company. I am, that is not my core competency to take Uber investors' capital and invest it really well. My competency is to build a big operating business that over a period of time grows top line, brings in lots of consumers all over the world, and ultimately throws off a lot of profitability and we can build a share price.

(41:27 - 41:46)

My skill in terms of investment is not going to be a significant factor in the value creation here. I believe in sticking. Could I have had a wonderful intellectual time on trying to determine if I should sell Zomato now or later, 10 years from now? Sure.

(41:46 - 41:53)

But that's not my core competence. I like to stick to my core competence. Would you buy Zomato today? I don't know.

(41:53 - 41:55)

I haven't looked at it actually. Right. Yeah.

(41:56 - 42:09)

They've done a great job. The food delivery business and now the instant grocery business and like Blinkit, I've heard is actually larger than the core Zomato business was, right? Growing faster. Yeah.

(42:09 - 42:20)

Yeah, very much so. So Uber is about 57% mobility, 30% delivery. For today, I'm going to ignore freight because I think it's growing at the lowest pace as well.

(42:20 - 42:34)

You shouldn't, but still, I get it. And I'm going to be a 20-year-old boy or girl in India trying to build a business in either mobility, delivery, quick commerce. And maybe we get advice from Dara as to what to build and what the opportunities are.

(42:34 - 42:57)

Oh, that's a, well, first I'd say don't try to build anything against Uber because we'll kick your ass. And you can buy us later. How big are network effects? Because you're already in so many

markets and so big, I'm guessing it's very hard to service a customer who wants to hire Uber at 3 a.m. and 6 p.m. Yeah.

(42:57 - 43:13)

Unless you have network, yeah. The network effects are very, very significant. Now, and so I do think that to invest in and build the required liquidity on both sides of the market is going to be very, very difficult.

(43:14 - 43:47)

Now, the network effects, to some extent, can be local, right? So the liquidity that we have in Bangalore may be different from the liquidity that we have in Hyderabad. So I do think that there's an opportunity, and maybe Rapido took advantage of that opportunity, of building out services in smaller cities and then building out liquidity in a way that's not quite as expensive because you're not trying to take on all of India, but go city by city by city and then get into larger cities. They started with, I think, two-wheelers and three-wheelers.

(43:47 - 44:06)

They're trying to get into autos, et cetera. So I think if you find a niche where you believe that you can build liquid, supply and demand on a local basis, and then you can rinse and repeat that over and over again, it's essentially what Travis did with Uber when he founded it. That is something that could work.

(44:06 - 44:34)

And if you get large enough, maybe then, and it might be a different segment, let's say intercity, for example, or some other segment that isn't particularly well-served by the Ubers of the world or the Zamatos of the world or some of the other players, then maybe you can build something that could either compete with them or could be bought by them. That's an interesting insight. I've watched a bunch of your interviews.

(44:35 - 44:38)

I'm sorry. No, they were actually really nice. Thank you.

(44:39 - 45:21)

Travis, they say that in society today, as a leader, you're either awe-inspiring, dogmatic, or you're somebody who builds consensus, is more relatable per se. Have you had to project a more relatable image because you have to overcompensate for what Travis was projecting? One thing that I really believe in is I don't think it works if you're trying to be someone other than who you are. People come to me and they ask me for leadership advice, and the first piece of advice that I

give them is be true to yourself.

(45:21 - 45:33)

Because the minute you're not true to yourself, people will smell that a mile off if you're not authentic. This is a word that people mean, authentic, et cetera. What does it mean? It's just like be true to who you are.

(45:34 - 45:52)

I am the youngest brother of a really big family. We have thousands of cousins around, and in Iran, community and family is so important. Nobody's the star, and if you're the star, you're going to be putting your place.

(45:52 - 46:14)

I'm a fancy, fancy CEO here, but when I go to my family, I'm just one of the younger cousins and I'm no big deal, and I love it. It's such a relief to be that person who that's my comfort zone. So I tend to be more collaborative.

(46:15 - 46:20)

When I played sports, I would play defense. I always played team sports. I didn't want to win as an individual.

(46:21 - 46:27)

I love the feeling of winning as a team. I don't want to be there celebrating by myself. I want to celebrate with my team.

(46:29 - 46:47)

So that is who I am, and maybe that's one of the reasons why I wound up here. Actually, my challenge as a leader is to get out of that collaborative mode sometimes and to really drive. For example, I'll give you a little story, and it's a funny story, but it just taught me a lot.

(46:48 - 46:59)

We were during COVID. In the U.S., COVID was devastating to our business. Mobility was 90% of our business and by far the profitable piece of the business.

(47:01 - 47:08)

Overnight, we lost 80%, 85% of our volume. Couldn't be worse. We were already losing $2 billion a year.

(47:09 - 47:17)

We went from losing $2 billion a year to losing $4 billion a year. It was a disaster. It became very clear that we had to undergo layoffs.

(47:17 - 47:29)

Not a fun time. I never thought I'd come to Uber to lay off thousands of people. And me being me, I was talking to my team.

(47:29 - 47:54)

What do you think we should do? What are the levels? I didn't want to do a peanut butter kind of layoff, etc. I wanted to be focused, and I would do meeting after meeting after meeting with my team because I wanted them all included and I wanted to hear what they had to say. And Nelson Che, my CFO at the time, we were talking and he was like, Dari, you know, we have a lot of respect for you and you're a really good person.

(47:56 - 48:06)

And we've talked about this a lot. Why don't you just tell us what you want to do? Because you tell us what you want to do, we're right behind you. And I was like, my God.

(48:08 - 48:26)

Sometimes collaboration, etc., talking about things doesn't help. And as a leader, you have to go from collaboration, you know, from peacetime collaboration mode to wartime, like, I am the leader, I'm the general, I'm going to make a decision mode. And there, like, I didn't sleep that much that night, but the next day I got everyone together.

(48:26 - 48:35)

I'm like, here's what we're going to do. We cut deep in operations, we cut less deep on tech. It was very, very difficult.

(48:35 - 48:48)

But like, we went and everyone was behind me. And while it was a really, really difficult time, to some extent, that brought the team together. It allowed Uber Eats to grow to incredible levels.

(48:49 - 49:05)

And I think it made us a better company. I would never, ever want to go through that again, but it made us a better company. So for me, my general comfort zone is collaboration, working with the team, listening to the team.

(49:05 - 49:23)

But then what I've learned is there are certain circumstances where you have to switch your modes. And so I'll switch from collaboration to decision, here's what we're going to do. And because my team sees me listening, collaborating most of the time, I think they give me credit when I say, all right, we're going to go this way.

(49:24 - 49:56)

So it's who I am. I've been noticing, I might be wrong in this, in a David versus Goliath world, David seems to have started winning quite often, which kind of doesn't make sense because we are largely a trust-deficit planet. But a lot of people I know, I think it's weirdly correlated to affluence, want to pick the smaller guy, the smaller brand, individuals over corporations.

(49:58 - 50:40)

In such a world, I get that relatable makes a lot more sense than awe-inspiring dogmatic. But how does a company like Uber, which is 40 plus billion in revenue and millions of rides and employees and all of that, how do you evolve to project the David image while you already have all of this? I do think that there is, first of all, I feel like David when we're competing in a technology world of trillion-dollar-plus companies. So while we may be a larger company, I don't feel like we're a big company at Uber.

(50:42 - 51:02)

We've done well as a company, but I think there's so much more that we can do. So I see our shortcomings much more than our accomplishments. And I think that it's part of the culture of the company, which is not to overestimate ourselves and to act like a disruptor, et cetera.

(51:02 - 51:14)

Do you do that consciously? Project vulnerability? I think it's kind of who I am. It goes back to my family. My father was like a really modest person.

(51:16 - 51:33)

And the minute I kind of thought I was hot shit, I don't know if I'm allowed to say that, he would just throw me in my place. So I think part of it is who I am. I think part of it is where Uber came from.

(51:33 - 51:46)

Remember, we were the upstarts. This company wouldn't exist if we weren't challenging the status quo. But how do you continue to look like the upstart tomorrow if the world picks David? I

hope so.

(51:46 - 52:01)

Now, I would tell you that internally, we are upstarts. And I want to have that upstart mentality here. We do have to recognize the power that we have.

(52:02 - 52:14)

And I do think that's a mistake that Uber made early on, which is we had to fight for our lives. But then at some point, we did get large. We had incredible impact in the cities in which we operated within.

(52:14 - 52:33)

And that does come with responsibility. And so I do think there's this weird kind of dualism about our identity, which is internally, we want to feel like upstarts all the time. Every single day, we're fighting for our lives.

(52:34 - 52:52)

We hire from a lot of big tech companies, and we say, come here, you're going to work your ass off. You'll probably make a little bit less money, but you're going to, like the work that you do can truly, an individual engineer at Uber can have huge effect across a company. And that is really cool.

(52:53 - 53:28)

And at the same time, the effect that you have on the company also has an effect on society too because we are big. And so there's this dualism that you have to keep within Uber, which is within these walls, we're going to act like a startup, but outside of the walls and discussions we have with regulators and discussions that we have with our drivers, our couriers, our restaurants, recognize we're a big company, and that does come with responsibility. And it means that just because you can do something doesn't mean you should.

(53:29 - 53:45)

This is some advice I want personally. At some point, Uber had different teams attacking different cities for market share. And these teams almost competed with each other, and net-net, it seemed to work well for Uber.

(53:46 - 54:03)

I tend to do this very organically with people I have. I don't know if it's good in the long run or bad, but I make them compete with each other. What have you learned? Does it work? It works as a

growth tactic, but it doesn't scale.

(54:04 - 54:34)

So to some extent, what you want to do is, you want to have these humans and teams compete against each other to hack your way into the best solution possible. Then after they get to that best solution possible, you then have to come in and automate that solution through algo, through engineering, et cetera. And then what was the frontier becomes a part of the core, and then you move to the next frontier.

(54:34 - 54:48)

So that's kind of the design spec that we have. The team is actually very, very entrepreneurial. Uber Teens, to some extent, was an amalgamation of a bunch of technologies that we built.

(54:48 - 54:58)

Our CPO, Sachin, he was obsessed with that idea. He said, well, we have a bunch of safety functionality here. We can put together teams with our safest drivers.

(54:59 - 55:17)

We have tracking functionality here. I'm going to put this whole thing together and hack together what you call this team solution. And you hack it, you move quickly, you see if there's product-market fit, and then once you see the signal that there's product-market fit, you do have to systematize it.

(55:17 - 55:23)

Because if you don't systematize it, you can't scale. So you have to have both muscles within the organization. But it's a good way to discover something fast.

(55:23 - 55:38)

Totally. You don't want it like that. The signal, we don't do this anymore, but at Expedia in the olden days, we'd put a button on the website just to see if there's demand for that button, and someone would click it.

(55:38 - 55:50)

They'd be like, oh, I'm sorry, it's not working right now. And we're just doing it to collect signal. That's the biggest hack possible, right? And once you see that product-market fit, you've got to build behind it.

(55:51 - 56:06)

And some companies make the mistake of not building behind it. And you can get away with it for a while, but at some point, the system falls apart. When you speak about DoorDash, or when you spoke about Zomato right now, you complimented them, praised them.

(56:07 - 56:33)

I heard you on an interview speaking about how DoorDash went after the suburbs, and you guys missed out. You praising competition, is that a way to appear more David, in a David versus Goliath world again? It's not an act. I think DoorDash is a really great company.

(56:33 - 56:44)

I don't like them, but they make us better. And they're a worthy competitor, global competitor. They're beating us right now in the U.S., but not for long.

(56:44 - 57:07)

And we're beating them outside the U.S. And the two companies going against each other makes both companies better, and actually builds a better service for consumers and couriers and restaurants all over the world. I think the humility that we talked about before, I think that actually creates a strength, because you're curious. You're not overconfident.

(57:07 - 57:16)

You don't think like you're the best in the world. You're curious about what others are doing. And for me, it motivates me and drives me to be better.

(57:16 - 57:40)

If I say DoorDash is a good competitor, and they are a good competitor, that's motivation for me and my team to be better. You said outside U.S. you're beating them and they're beating you here. Not for long, though, in the U.S. Does India as a market matter, Dara? You once observed when you were there that Indians are very demanding and they don't want to pay for anything.

(57:41 - 57:52)

That comment cost me. It matters hugely for us. India is now our third largest market in terms of mobility trips.

(57:53 - 58:11)

We've got, I think, over 1.4 million now drivers, auto, two-wheelers, three-wheelers, and four-wheelers in India. The growth there is spectacular. I think India is already one of the great countries in the world, but if you look at it as a share of GDP, it's only going to increase.

(58:12 - 58:31)

The leadership there is amazing. And so much of our talent pool, not just in India, but all over the world, comes from Indian descent as well. So India is an absolute must-win for Uber, not just tomorrow, but 10 years from now.

(58:31 - 58:40)

I'm going to go back to being a 20-year-old who's starting a business in this industry. You know, I say don't start one in this industry. Go try something else.

(58:41 - 59:42)

How do I recognize the opportunity versus stamp, like the total addressable market? If I want to start QuickCommerce in India and the cost of delivery is, say, 20 rupees or 30 rupees or 50 rupees, if the total addressable market that can afford a product like that in India be 20 million people or 50 million people, where is the number right? A lot of consumption in India is still going towards groceries, as much as 50%, 60%. So how do I justify to myself that my business idea is sound, that I'm going to charge 50 rupees a delivery? How many people do I model for? Where does that fit come across geographies? I say you're way overthinking it. You know, businesses that succeed are always adapting and adjusting.

(59:43 - 59:56)

So what I tell you is, figure out if there's product market fit in that narrow segment. Call it the 50. And by the way, if it's narrow, that's great, because then the big players are probably not going to come after it.

(59:56 - 1:00:21)

It's a segment where you can add value and a segment where you can own. And then if you establish product market fit and you build a business there, then you can go to the next area, to the next area, to the next area. But if my market size is only 20 million people who can afford it, still build it? Build it as long as there's product market fit in terms of unit economics that makes sense.

(1:00:21 - 1:00:32)

And once you get to those 20 million people, you're going to find an adjacency to get into. And then you'll find another adjacency and you'll find another. But then I'm competing with people like you who already are sitting on the network effects.

(1:00:32 - 1:00:55)

Yeah, but the big TAMs are going to be taking. So actually, specifically, you should go after the small TAMs and the small opportunities where you can create a network effect without enormous investments either in technology or development or monies. You actually specifically should go after the small TAMs and then work your way into the adjacencies over a period of time.

(1:00:55 - 1:01:23)

I wasn't around, but at the time, when Uber Eats was conceived of, I think it was Jason Droege and Travis, they were driving around a bunch of cars with burritos in the trunk of that car. It was like a manifestation of mobility, a very close manifestation. And you look at where delivery has gone and how large it's become, I don't think they would have ever predicted that.

(1:01:23 - 1:01:31)

So you just get one step to the next step to the next step. I don't believe in overthinking TAM. Many TAMs are like you build those for IR and you build those to raise money.

(1:01:32 - 1:01:57)

You may want to create this wonderful, dramatic TAM to go raise a couple million bucks, but that's not what should be processing through your mind. It should be, can I build a service that has eventually strong unit economics that then I can build on top of? QuickCommerce seems to have sidestepped the US for a long time. I think you went to big box retail and then you went to another thing altogether.

(1:01:58 - 1:02:24)

Not necessarily competing on, I will deliver in six minutes, I will deliver in seven, and I will deliver in eight. Why is that? Because the cost of labor in the US is too high. So that's my take, which is with QuickCommerce, you can't automate that much because the cost of the automation doesn't bear out in a small box.

(1:02:24 - 1:02:58)

So you have to use human labor. And so in markets where the cost of human labor is not there and the concentration of customers isn't there, you get a fail, which is, for example, let's say in the US. I think that GoPuff is making a good run at it, but you look at the development of that market versus Blinkit or some of the other developing markets, it is absolutely working much, much better in lower-cost labor markets than it is in high-cost labor markets.

(1:02:59 - 1:03:30)

Is there an arbitrage there because your drivers are not essentially employees? Is there a labor cost arbitrage? Because they're gig workers, they run their own cars, they don't need to be paid

benefits, insurance. Yeah, there's a trade-off there, which is we can't tell our drivers when and when to work. So imagine if Starbucks is hiring a barista, they don't go to the barista, hey, show up whenever you want to and we'll pay you however much a Starbucks barista makes per hour.

(1:03:31 - 1:03:42)

So you could call it a labor arbitrage. I call it a trade-off, which is the driver and the courier can decide when and where they want to work. That creates cost for us.

(1:03:43 - 1:04:22)

We then have to build liquidity of supply and demand, and sometimes we will use incentives and our algorithms. For example, surge are circumstances when demand exceeds supply. And in those cases, we have to actually raise prices for that demand in order to attract enough drivers to get out into the market to pick up everyone arriving at 7 p.m. on a Thursday night at the airport or when the Warriors game is done.

(1:04:23 - 1:04:51)

So it's not an arbitrage mechanism, it is a trade-off that also is an enormous benefit to certain people who don't want to work on a schedule, who want to work less than 40 hours a week. 70% of our drivers and couriers are working less than 20 hours a week. So it is a unique product market fit that we found.

(1:04:52 - 1:04:58)

It works for drivers and couriers. It works for us. We have to build very complex systems in order to make it work.

(1:04:59 - 1:05:14)

And I think overall, when you look at society, it's good for society. It's a service both for the drivers and for customers that works. And I think more and more societies are appreciating that.

(1:05:15 - 1:05:26)

You've spoken about autonomous vehicles a bunch of times. And I don't know if it'll happen sooner or later than you predict. Everyone's been wrong so far.

(1:05:26 - 1:05:46)

So who knows? I mean, the predictions generally of autonomous and when it's going to be ready for market, this is a problem that Waymo has been working on probably for 15, 20 years. And it's proven out to be a much more difficult problem to solve than anyone expected. But finally, it's working now.

(1:05:46 - 1:05:57)

I mean, the Waymo product is spectacular. And there are others building out the products as well. I was at a junction last evening and there was a fire truck behind a Waymo.

(1:05:57 - 1:06:11)

Interesting. And I didn't— Were the sirens on? The sirens were on. And the Waymo actually did this interesting maneuver where it went right, stopped there, waited for the fire truck to go.

(1:06:12 - 1:06:29)

It was incredible. Yeah, perfect. What do you think wins? Waymo's tech or Tesla's? Cameras, LiDAR, radar? I personally believe that autonomous vehicles have to have superhuman levels of safety.

(1:06:29 - 1:06:36)

I don't think it's good enough for them to be better than humans. They have to be multiple times better than humans. And Waymo's certainly proven that that's possible.

(1:06:36 - 1:06:55)

So why not take that shot? I think in the near term it's going to be very difficult. And Elon would tell me I'm wrong and never bet against him. But it's my instinct that in the near term it's going to be very difficult to build a camera-only product that has superhuman levels of safety.

(1:06:55 - 1:07:24)

And again, now, at some point will it be possible? Quite possibly, yes. But if you can have instrumentation that includes cameras and LiDAR, and the cost of LiDAR, you know, solid-state LiDAR now is $400, $500. Why not include LiDAR as well in order to achieve superhuman safety? So possible, yeah, it will be possible.

(1:07:24 - 1:07:39)

I don't know when. But is the possible the better product? I'm not sure. I would—all of our partners that we're working with now are using a combination of camera, radar, and LiDAR.

(1:07:39 - 1:08:00)

And, you know, I personally think that's the right solution. But it could be proven wrong. What happens to Uber's earners when— if autonomous becomes safer and cheaper, one could argue that putting a human behind a wheel is a disservice because you're putting somebody at risk.

(1:08:00 - 1:08:27)

At that point, what happens to all the earners who are working with Uber? Well, I think it's not just earners. It's then why should humans drive, right? Society would be— I think there are about a million auto-related fatalities in the world, so why not save those lives? I think that it's an inevitability for that to happen. So it's not just drivers, but also auto drivers, whether professional or not, wouldn't drive anymore.

(1:08:27 - 1:08:55)

And I think that would be a good outcome for society. I do think we have time— How much time? In between, I think it's a good 20 years, because right now the drivers, the autonomous drivers, are safer but much more expensive, even in developed markets that have high labor costs. So for autonomous to come into India is going to take a long time in terms of cost of hardware coming down.

(1:08:56 - 1:09:09)

So 20 years I'm describing as the end state. Within 10 years, you're going to see a significant number of autonomous vehicles, especially in developed markets. And I think that's a very good thing in terms of safety.

(1:09:11 - 1:09:21)

And what we're trying to do is make sure we communicate with our drivers appropriately. And it's very, very small at this point. It's a teeny, teeny part of rides in any markets.

(1:09:21 - 1:10:05)

And we're actively looking to create other work opportunities for those drivers as well. So, for example, I'm actually going to go to a meeting later today of a new group that we built, Uber AI Solutions, that is using our gig workers and then other specialist workers as well for AI labeling, translation, all kinds of needs and products that actually serve these AI models, some of which may be autonomous or not, that ultimately are going to be doing a bunch more of the manual work, not just driving, but the manual work that many workers do today. I was having this debate with a friend of mine back in India.

(1:10:06 - 1:10:25)

And they were like, autonomous for India with the cows and dogs and carts and all of that. But when you think about it, if a computer has a reaction time which is faster than a human, an autonomous vehicle should do better with more arbitrary things like this at play. Totally.

(1:10:26 - 1:11:00)

I think it's just a question of training. And if autonomous vehicles can figure out near city traffic, India traffic is harder, but it's only an issue of training on additional data sets and improving the capabilities there. Yeah, and I don't want to be unfair with this question of what happens in 20 years to earners, even if it takes 20 years, because I could extrapolate the same thing for so many industries where AI will disrupt their jobs in 20 years.

(1:11:00 - 1:11:23)

Yeah, it's a societal issue. But what happens to society? What has happened to society repeatedly and repeatedly is that the workforce has adjusted over and over again. Every single time when more manufacturing was automated, there's always this drama of, oh my God, what happens to the people? And people figure it out.

(1:11:24 - 1:11:39)

And people usually then go to higher value types of labor. And, you know, unemployment rate, our world has more automation today than it ever has been. And unemployment rates are at historical lows in most developed countries.

(1:11:40 - 1:12:06)

I think the question is whether or not this is a unique time and circumstance where the change is going to happen faster than it ever has before. And based on the rate of technological change there, there's reason to believe that, yeah, maybe this time may happen faster than societies historically have been able to adjust to change. I don't know that yet.

(1:12:06 - 1:12:19)

I don't think it's a problem for Uber. It's a problem for, well, it is a potential issue for Uber, and it could be a real problem. But it's a big societal problem that we all have to take on.

(1:12:19 - 1:12:39)

But there's also opportunity there. You know, how can we educate our workforce and bring to them opportunities that ultimately allow them to live the kinds of life that they want to? Our, you know, kind of building Uber AI solutions is one small step in that direction. But believe me, we don't have all the answers.

(1:12:39 - 1:13:11)

Do you suspect, Dara, that you might lose access to data like you have now? If tomorrow, say, Elon's saying that Tesla will not need Uber or even Waymo, I'm guessing a lot of the data is controlled by the hardware and less by who booked the Waymo. Well, I think that we actually now have, we're collecting data using lucid cars in a bunch of cities as well. So I think for Uber, data's

not going to be a problem.

(1:13:12 - 1:13:27)

And we will have data capture capabilities. We'll work with our partners to capture data as well and then provide them to our partners all over the world. And based on the growth that we see, our access to data is only going to increase.

(1:13:29 - 1:13:37)

Travis is doing ghost kitchens. Yes. I watched an interview of his where he was speaking about how this could change how we eat.

(1:13:37 - 1:13:45)

Any view on that? Do you think that's going to happen? I think it's inevitable. I think it'll take time. Change in the real world really takes time.

(1:13:46 - 1:14:07)

But I've been super impressed with what Travis has done with ghost kitchens and now he's working on robotics as well to automate more of the cooking process and bringing healthy, natural food to more people with less labor. That's really, really cool. And he's a terrific partner of ours.

(1:14:07 - 1:14:16)

We work with Cloud Kitchens all over the world. They're a big partner. And Travis is an entrepreneur that you should not underestimate.

(1:14:16 - 1:14:47)

Any view on what could happen to restaurants, Dara? I know a bunch of them, large chains back home, who constantly complain about the 15 to 30 percent they end up paying delivery operators and they talk about how it's unsustainable. Add to that, you have the data and you start dark kitchens, or what Travis is doing. What happens to an old-school restaurant business? Well, I think an old-school restaurant business that can't adjust is going to suffer.

(1:14:47 - 1:15:04)

They're going to lose share. And so I think it's the job of the old-school restaurant business to become a new-school restaurant business. How do they do that? Well, I think if you break down what restaurants do is there's a component, which is food.

(1:15:05 - 1:15:15)

Giving you great food that you enjoy. And there's another component, which is hospitality. Which is, come to this restaurant and there's an environment that you might enjoy, etc.

(1:15:16 - 1:15:34)

And there's the mood. There's the romance of a restaurant as well. I think that there are certain restaurants where the hospitality part of the offerings is not quite as significant.

(1:15:36 - 1:15:49)

McDonald's is more about the food than it is about going sitting in McDonald's and enjoying the seating there. It is about the food and the brand. And affordable food available quickly to so many people.

(1:15:49 - 1:16:22)

And so I do think that those depending on the kind of food that you're providing, if it's about the food, then you will have to make this transition to either drive-through or delivery because you're not adding much value in terms of hospitality. And in those kinds of circumstances, what Cloud Kitchens offers you, which is a more industrialized way of still providing really healthy food to someone, and the hospitality there, well, I want to eat at home. I love my home.

(1:16:23 - 1:16:42)

That is essentially where that system is going to go. And yes, will it take share from the classic restaurant business? It will. But it's also actually extending the share of restaurant eating or restaurant food as a percentage of overall food consumption.

(1:16:43 - 1:17:18)

If you look at restaurant sales, restaurant sales are growing faster than grocery sales because these restaurants are providing a better product more affordably, more conveniently. And then I do think that there will be certain restaurants where that hospitality, the third place that Starbucks was so good at, I think Brian Nichols is trying to bring in, the feel, that part of it is still, I think, going to sing, the romance of going to a restaurant. And so I think those two, the utility and the romance, are going to be separable.

(1:17:20 - 1:17:35)

And you as a restauranteur have to understand where you want to be because I think the middle is going to be a difficult place to live. But the restaurant industry is adjusting, just like every single industry has to adjust. You've got to change in order to keep up with the times.

(1:17:35 - 1:17:45)

So, Dara, you talk about ads on Uber. Yes. And I have found this even with myself that when I'm searching for something today, I don't use Google anymore.

(1:17:45 - 1:18:30)

I end up using Perplexity or OpenAI or someone like that. Sure. If I want to build a brand tomorrow and I want to market and nobody's landing on Google Ads, what happens to the world of ads? How does a brand get built? How do I get the word out that I've started this new T-shirt company? Well, I think that those surfaces for a brand to truly get built are there in terms of Instagram and TikTok and Facebook, right? So the Google ad world, the Perplexity ad world, et cetera, are built for searches based on intent.

(1:18:31 - 1:18:54)

And so I think that that medium is about growing brands, not establishing or inventing brands. But I actually think that the surface area for brand new brands to grow and thrive, it's actually greater than it ever has been. I'll tell you a little story of my niece, Lilliana.

(1:18:55 - 1:19:45)

She's incredible. She studied humanities, loves fashion, loves golf, wanted to build a new golf brand, which is like fun, great, fashionable clothes for women. She used MidJourney, taught herself how to use MidJourney, designed all of the designs on MidJourney, then went out and sourced her clothing with, I think it's some Chinese players and Indian players and I think a couple of other places, got the clothing, and now she is building this Lillehammer brand and using TikTok and using Instagram as her distribution mechanisms and also going to these traditional golf clubs, etc.

(1:19:46 - 1:20:11)

She could not have done that 10 years ago. So I actually think this is a magical time where the tools that you have at your arsenal and the manufacturing prowess all around the world at your disposal, it's a great time to build brands. And I think the surfaces are there as long as you have a story, you've got a personality, and you have something distinctive to add.

(1:20:11 - 1:20:22)

You're saying social media is still the go-to place? Oh, yeah. Now, would Liliana have the, would she do well on Google? No. But that's not the surface.

(1:20:22 - 1:20:56)

That's a surface, let's say, for Lululemon, not her. With the current president's immigration policies, do you think labor costs for your earners will go up significantly? The cost of labor will

not go up directly because I think the vast majority of drivers, couriers, etc., are illegal in terms of their immigration status. But to some extent, we compete with the labor market in terms of the rates that our drivers want to make per hour.

(1:20:57 - 1:21:08)

So I think in an indirect way it could have an effect on us, but I don't think it'll have a direct effect on us. Right. So, Dara, I have a fund back home in India, and I spent— You have a fund? I have a fund.

(1:21:08 - 1:21:12)

Like a private equity fund. Sure. How's it doing? It's doing decent, I think.

(1:21:13 - 1:21:25)

I spent a lot of the last couple of years buying into the transition into electric mobility. Interesting. So we got everything from electric scooters to trucks to buses.

(1:21:25 - 1:21:41)

We even did an electric flying taxi investment recently. All over the world or in India specifically? A little bit all over the world, but more focused in that region. Have you seen Chinese electric vehicles, by the way? They're incredible, right? They are unbelievable.

(1:21:41 - 1:21:50)

It is the innovation coming out of the Chinese OEM and EV business. I've never seen anything like it. It's extraordinary.

(1:21:50 - 1:22:14)

Why, though? Why are they so far ahead of everyone else now? Because of the competition. I think there's this belief, I'd say, from the U.S. and a lot of Western countries that China is a planned economy. And China is a planned economy from a strategic standpoint.

(1:22:15 - 1:22:42)

And, for example, they want to get into manufacturing, EVs, et cetera. And so while that comes top down from the government, then actually the way these industries grow is every Chinese significant city or province, et cetera, wants their own EV company to succeed. So in China now, there are over 100 OEMs in China, well over 100.

(1:22:43 - 1:23:05)

And so there's this bottoms-up competition that's based on the top-down strategy that the

government sets. So you have kind of the best of both worlds, which is you have industrial policy, but then the winners aren't whose buddies were the president. The winners are who wins in a brutal competitive environment.

(1:23:05 - 1:23:21)

So the winners coming out of China, the Geelys of the world, the BYDs, they have been through the wringer. And so it really is survival of the fittest. And the innovation that we see and the speed of development there, it's extraordinary.

(1:23:23 - 1:23:53)

In a free market, can anyone compete and catch up? No tariffs, nothing, no duties? In a free market, can anyone catch up to China? Chinese EVs? Of course people can catch up. I think that when you look at the Korean manufacturers, there's a ton of talent there. But I think if you look at, my expectation is overall share, especially in the EV sector, on a global basis of EVs, is going China's way for a while.

(1:23:53 - 1:24:06)

But individual, innovative OEMs, they're going to do fine. So say I'm a scooter company in India. I don't have the scale that Chinese manufacturers or OEMs have today.

(1:24:06 - 1:24:26)

How do I compete? Because they're building it on the scale that I am. I mean, listen, I don't know enough about the Indian industrial sector. But based on the innovation that I see out of India and the talent, there's got to be a way to compete.

(1:24:29 - 1:24:48)

What I see out of India, it's very, very special. I think that, especially in IT industries, India really has risen. And I think manufacturing is still somewhat nascent relative to the size and potential of India.

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But there's no doubt we'll get there. I had this thesis that all vehicles will be electric by X amount of time. But the adoption seems to have slowed down.

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Why is that? Subsidies are going away. Yeah, subsidies are going away now. I do think that in Europe and China it's definitely happening.

(1:25:09 - 1:25:41)

I do think that it requires substantial investment over a long period of time in the charging infrastructure of cities. And so the societies that have continued to make way there, you are seeing the product, you're seeing EV penetration continue to improve. And within Uber, we are moving to EVs five times faster than the general public.

(1:25:41 - 1:26:02)

So EVs inside of the Uber system are definitely increasing. And from my standpoint, I'm hoping that we continue to increase the penetration of EVs. And the next driver that you want, switching from a combustion engine to an EV is actually Uber driver because the average Uber driver is driving four to five times the mileage of the average driver.

(1:26:02 - 1:26:17)

So we continue to push it. We're still quite committed to moving over to as much sustainable both packaging for our restaurants and EVs. But I would say that it's gotten much harder over the past two years.

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So if I make the bet today by investing capital in the assumption that all vehicles will be EV, do you think it's still a fair bet? Yes, it's a better technology. But it's a question of you might want to pick where you're investing. Give me some advice.

Where should I? Well, China, no, there's too much competition. But I think that there's still potential in Europe. And I look at the investments going into the charging infrastructure of local cities.

That's a signal that I would look for. Right. With everything you're building, Dara, funnily enough, I had to tell you this, there is a really popular wrestler in India with the name Dara Singh.

(1:26:57 - 1:27:02)

Really? Yes. I don't know if I should call you Dara, because that's how we call it in India. Dara is right.

(1:27:04 - 1:27:10)

Is he bigger than I am? I think so. I find that surprising. I've never met him, but I suspect he is.

(1:27:10 - 1:27:33)

He's much bigger than me, too. With everything you're building, Dara, is there a super app

coming? Is that the eventual outcome? I think that super apps seem to be particularly relevant in Asia and China, etc. They've been quite successful there.

(1:27:34 - 1:27:56)

They've had less success in Western markets. So I don't know if we will get to what you would call a super app, but we certainly want to be a connected family of apps. So if you go on Uber now, Uber Mobility, we have Uber Eats available to you, and people are transacting billions of dollars of Uber Eats on the Uber Mobility app.

(1:27:57 - 1:28:12)

And on Eats, obviously, we have grocery, we have retail. You'll know next time you need a travel adapter. And so we have, I think, an ecosystem that is making it increasingly easier for you to work from surface to surface.

(1:28:12 - 1:28:34)

Or with a membership plan, Uber One, that gives you discounts on both. So I absolutely know that we are building this local ecosystem, that local OS of yours. Whether the physical manifestation is a super app or not, I don't know.

(1:28:35 - 1:28:54)

And the way I view it is, I'm going to let our engineers and our product folks innovate, come up with the next idea, and then we'll go one step in front of the other to get to that outcome. I was thinking about this, and I did a little bit of research. Super apps tend to work in societies without as much rebellion.

(1:28:54 - 1:29:04)

As much what? Rebellion. Yes. In pseudo-socialist societies, in more capitalistic ones, everybody wants to bet on the new guy, the young guy.

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The same David Goliath argument. I mean, I think there might be some of that, but there's also kind of phone storage and capabilities. Having a separate app for all these different services may be a lot.

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And I think in some of the more developed markets, people will pay for that last 10 or 20% of fine-tuning that maybe a super app doesn't. So I don't know whether it's societal or it's a combination of society or technology coming together. It definitely hasn't worked in the West, though.

(1:29:38 - 1:30:10)

Last question, Dara. You have been a successful investment banker, a two-time CEO, Expedia, Uber, sometimes joining Midway and really scaling the company. If you were me, a 20-year-old boy or girl in India, and you had to start afresh, what would you build today and who would you build it with? Who would your co-founder be? So I always think people should know their own limits.

(1:30:11 - 1:30:14)

I am not a startup person. That's not my skill. I'm a scale person.

(1:30:15 - 1:30:33)

I'm not the person to kind of start with an idea fresh. And I have enormous respect for those rebels who think that they can do it on their own. My advice would be, I've always said when I give career advice to people, I look for three things.

(1:30:35 - 1:30:52)

One is, I want to work for people who I like and I can learn from. Second is, I want to go to a place where I as an individual can make a difference. And third, I want to make a difference at a place that matters in the world, is making a difference in the world.

(1:30:53 - 1:31:07)

And actually, that's why investment banking for me, great people, I thought I was pretty good, but I didn't get that jazz. I wasn't changing the world. And so then when I saw Barry, I'm like, great, I want to work for him.

(1:31:08 - 1:31:30)

And we were really on this path of the changing of the world and hopefully helped it with travel as well. And I was really, I thought I was going to run Expedia for as long as Barry would help me. But then for me, Uber, the thing that really excited me was how important Uber was to the world and the difference hopefully that I could make as a CEO.

(1:31:31 - 1:31:44)

I think a lot of young people, they kind of think too much about how much money they're going to make or this or that. It's like, work for people who you love or respect. Make a difference and try to work at a place that's making a difference.

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And the rest takes care of itself. Thank you, Dara. This was a lot of fun.

(1:31:49 - 1:31:52)

Thank you. And hopefully we do it again sometime soon. I think that'd be great.

(1:31:52 - 1:32:10)

Thank you. Thank you. How did you hold your hand? I was at camp with my kids and my son, Hugo, is a keeper.

(1:32:11 - 1:32:24)

And I used to be a keeper in high school as well. So I thought it was a good idea to play keeper against him and all the other camp counselors. And I got carried away and I dived to make him proud.

(1:32:25 - 1:32:26)

So I took this one from my boy.